

NextEra Energy, Inc.

NEE NYSE

Buy	\$85.68 ▲ 2.41%	12M Price Target \$98.00	52-Week Range \$67.20 – \$98.75	Market Cap \$178.69B
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NEE: Reiterate Buy; Renewables Pipeline Underpins Multi-Year Compounding

WHAT'S CHANGED

- NEE bounced +2.41% to \$85.68 after Monday's -3.85% selloff to \$83.66 on elevated volume (14.2M), with Utilities sector rallying +1.86% but still down -3.15% over 5 days reflecting rate-driven sector pressure.
- Bullish options flow (P/C 0.45) with unusual call buying at \$86 and \$101 strikes (June expiry) suggests positioning for upside continuation despite recent weakness.

IMPLICATIONS

The cluster of "bond proxy battleground" and valuation-after-weakness narratives confirms NEE is caught in the broader utilities rate-sensitivity trade rather than company-specific deterioration, with the stock now at 59% of its 52-week range despite intact renewables fundamentals. The Barron's "forgotten sectors" and Motley Fool June buy theses indicate contrarian institutional interest is building, supported by 86.9% institutional ownership and bullish near-term options positioning. With AI-driven power demand structurally accelerating data center load growth in FPL's Florida service territory and across NEER's renewables pipeline, the current weakness offers a more attractive entry into a multi-decade compounding story.

VALUATION

At \$85.68, NEE trades at ~22.8x FY26E EPS of \$3.75 and ~14.5x EV/EBITDA — a modest premium to regulated utility peers justified by NEER's growth optionality and 6-8% long-term EPS growth guidance. Our \$98 PT (14% upside) assumes 24x FY27E EPS of \$4.10, in line with NEE's historical premium multiple. Multiple expansion catalyst: 10-year yield retracement below 4.25% and/or accelerated data center PPA announcements.

KEY RISKS

- Rate sensitivity: further 10Y yield expansion compresses utility multiples and raises NEER's capital cost on \$100B+ capex plan.
- Regulatory/political: potential IRA renewables tax credit modifications under shifting policy backdrop could impair NEER project economics.
- Florida storm/hurricane season exposure to FPL infrastructure during June-November Atlantic basin activity.

RECENT NEWS

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Key Data

Price (USD)	\$85.68
12M Price Target	\$98.00
Upside / (Downside)	+14.4%
Market Cap	\$178.69B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.75
FY2027E EPS	\$4.10
Fwd P/E	22.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$92.00	\$87.00	\$80.00
6 Months	\$100.00	\$92.00	\$78.00
1 Year	\$110.00	\$98.00	\$75.00
2 Years	\$128.00	\$110.00	\$72.00
5 Years	\$175.00	\$140.00	\$85.00
10 Years	\$260.00	\$195.00	\$100.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+7.06% 5D), Materials (+1.04% 5D)

COLD SECTORS: Utilities (-3.15% 5D), Real Estate (-2.73% 5D)

ROTATION WATCH: Rate-sensitive sectors (utilities, REITs) remain under pressure as yields stay elevated; any dovish Fed pivot or softer macro data would catalyze sharp rotation back into utilities given depressed positioning.

BYPRODUCT PLAY: AI/data center power demand creates structural tailwind for independent power producers and renewables developers — NEE's NEER segment is the largest pure-play beneficiary alongside CEG, VST, and TLN.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Nuclear baseload positioning capturing premium AI data center PPA pricing, outpacing utility sector materially YTD.
- VST (Vistra Corp): Texas/PJM merchant power exposure benefiting directly from data center load growth and capacity price tightening.

NEE CONTEXT: NEE is lagging merchant power peers (CEG/VST) which capture AI demand more directly, but outperforming regulated utility peers on NEER growth optionality. At 59% of 52-week range, NEE offers the best risk-adjusted exposure to the AI power theme with regulated downside protection from FPL.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$82-85 on rate-driven pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: EPS growth falls below 6% or material IRA rollback impacting renewables ITC/PTC

Hedging: Pair long NEE vs short XLU or long TLT to offset rate sensitivity